

Portfolio Management - Understanding the client, business case and prospects document

Upgrad Capstone: Lakshmi Sagar SP and Rajesh Mishra

1. Questions to be asked based on the 5Ws+How framework

	Client/Prospect	Investment fund	Securities	Investment horizon	Financial goals
Who?	Who is the investor assigned to you?	Who is the beneficial owner of the funds, and who originally contributed or provided these funds (SOI)?	Who is responsible for selecting the securities to invest in, and who may influence or advise this decision?	Who determines the timeline for this investment?	Who will set the financial goals for this investment?
What?	What is the risk appetite of the client?	What are the total funds that the client is willing to invest?	What types of securities are being considered (equities, bonds, mutual funds, ETFs, alternatives)?	What is the expected duration of the investment?	What specific financial goals is the client aiming to achieve through this investment?

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When ?	When does the client plan to make their first investment through us?	When will the funds be made available for investment (immediately, over time, in tranches)?	When does the client expect regular performance reviews and rebalancing to take place?	When does the client intend to withdraw the returns?	When does the client aim to achieve his/her financial goals set for this investment?
Which ?	Which factors or criteria influence the client's investment decisions (e.g., risk, return, liquidity)?	Which segments or industries is the client interested in investing in?	Which of the securities will provide the best returns?	Which investments /strategies are suitable based on the client's investment horizon	Which milestones will indicate that the financial goals are on track?
Where ?	Where are the client's funds currently allocated?	Where are the new investment opportunities that can be added to the portfolio based on the client's financial goals?	Where does the client wish to invest the available funds?	Where could market or personal factors create risks for the client's chosen investment horizon?	Where will contingency funds be kept in case of unforeseen needs?

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How?	How experienced is the client in terms of investing and growing wealth?	How will the portfolio respond to sudden market changes or economic cycles?	How will potential returns be measured, forecasted, and compared across securities?	How will the portfolio be structured to balance liquidity needs with the client's investment horizon?	How does the individual intend to use the returns from the investment?
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2. Answers to help understand the business case

Question	Answer
Who is the investor assigned to you?	Ms. Alexandra Kolishnyick, a quiet and careful college student who wants to save money long-term to fund an NGO.
Who is the beneficial owner of the funds, and who originally contributed or provided these funds (SOF)?	Ms. Kolishnyick owns the funds. They come from the money her parents sent for daily expenses.
Who is responsible for selecting the securities to invest in, and who may influence or advise this decision?	We, as portfolio managers and data scientists, select the securities and make the investment plan, but Ms. Kolishnyick makes the final decision. We guide her with a detailed report explaining the pros and cons so she can decide.

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Who determines the timeline for this investment?	Ms. Kolishnyick decides the timeline, which is her 4–6 years in college, aiming to fund an NGO afterwards.
Who will set the financial goals for this investment?	Ms. Kolishnyick has set the main goals: keep her money safe and grow it moderately. Our stock choices will focus on stability and beating the market without high risk.
What is the risk appetite of the client?	Low to moderate. She is conservative, prefers stable returns, and avoids high-risk.
What are the total funds that the client is willing to invest?	She hasn't disclosed the amount, so we will assume equal weights for analysing expected returns.
What types of securities are being considered?	Stocks listed on the NYSE. The S&P 500 will be used as a benchmark for metrics like Beta and Sharpe ratio.
What is the expected duration of the investment?	Long-term, during her college years, to later fund an NGO.
What specific financial goals is the client aiming to achieve through this investment?	Capital preservation: protect the principal. Moderate growth: steadily grow money to fund the NGO. Socially conscious: prefer stable, socially responsible stocks. Transparency: She wants clear reports to understand the strategy.
When does the client plan to make their first investment?	To be decided. We will assume she invests immediately to cover the data timeframe.
When will the funds be made available for investment?	To be decided. We will assume full capital is available at the start.
When does the client expect regular performance reviews and rebalancing to take place?	To be decided. We will suggest a suitable review schedule in our final recommendation.
When does the client	At the end of college, to fund her NGO.

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intend to withdraw the returns?	
When does the client aim to achieve her financial goals?	At the end of college.
Which factors or criteria influence the client's investment decisions?	Risk (low volatility, low drawdown), returns (stable moderate growth), and liquidity (easy to access).
Which segments or industries is the client interested in investing in?	To be decided. We will analyse the 12 stocks and create a diversified portfolio matching her risk profile.
Which of the securities will provide the best returns?	This will be determined using our stock analysis with CAPM, Sharpe ratio, and historical performance.
Which investments/strategies are suitable based on the client's investment horizon?	Stable, large-cap stocks and a minimum-variance portfolio will suit her long-term goals.
Which milestones will indicate that the financial goals are on track?	We will track cumulative returns and the annualised Sharpe ratio.
Where are the client's funds currently allocated?	Likely in a savings account. The money is liquid but earns minimal interest.
Where are the new investment opportunities located?	Will be provided in our recommendations.
Where does the client wish to invest the available funds?	In NYSE stocks that are stable and match her conservative risk profile.
Where could market or personal factors create risks for the client's chosen investment	Market: economic downturns, geopolitical issues. Personal: unexpected financial needs before the investment matures.

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horizon?	
Where will contingency funds be kept in case of unforeseen needs?	We will advise her to keep emergency funds separate from this investment.
How experienced is the client in terms of investing and growing wealth?	She has limited investing experience and focuses mainly on her studies and NGO goals. We will provide clear, educational reports to help her understand and trust the strategy.
How will the portfolio respond to sudden market changes or economic cycles?	We will analyse beta and maximum drawdown to see how sensitive the portfolio is to market changes.
How will potential returns be measured, forecasted, and compared across securities?	Using daily/log returns, forecasting with ML models, and comparing with CAPM expected return and Sharpe ratio.
How will the portfolio be structured to balance liquidity needs with the client's investment horizon?	We will choose highly liquid NYSE stocks. A long-term horizon means liquidity is not urgent, but is still considered.
How does the individual intend to use the returns from the investment?	The returns will fund an NGO with her classmates, adding responsibility to preserve capital.